

Even at the low rate of 3% per annum, inflation eats up a quarter of your money's purchasing power every 10 years. In 24 years, your money is reduced to half. That is a fairly large number and that too at a very conservative rate of 3%. Watch what happens when this number begins to climb. At 5%, your purchasing power is reduced to half in mere 14 years and at 6%, it just takes 12 years for inflation to do the same damage.

At the time of writing this book, the inflation rate in India is almost touching double digits. So most of us cannot even imagine the speed at which the value of money is eroding. Whenever we hear about the difficulty of meeting our needs because of price rise, it is nothing but inflation that is unknowingly being referred to. If you do nothing with the wealth that you have accumulated, it will just erode with time. You have no choice. You have to "invest".

The equity¹³ market (Stocks, Mutual Funds) and Real Estate presents the best guard against inflation. Bank fixed deposits and other investment tools would at most keep up with inflation, but over time, good companies normally stay ahead of inflation. The Equity Market¹⁴ offers the best potential for long term growth. You may still experience certain unsettling downs in the equity market, but with patience and discipline, you will always stay ahead.

So, fundamentally, there is something wrong going around with your money, which needs your intervention to stay on track, and that 'intervention' is the investment you make across the spectrum of tools available and described in detail in this book. The investment has to be made in such a way that your money is safe and secure and also gives you a rate of return which can beat the rate of inflation.



If you do not invest and fortify your portfolio against inflation, you will surely outlive your money.